

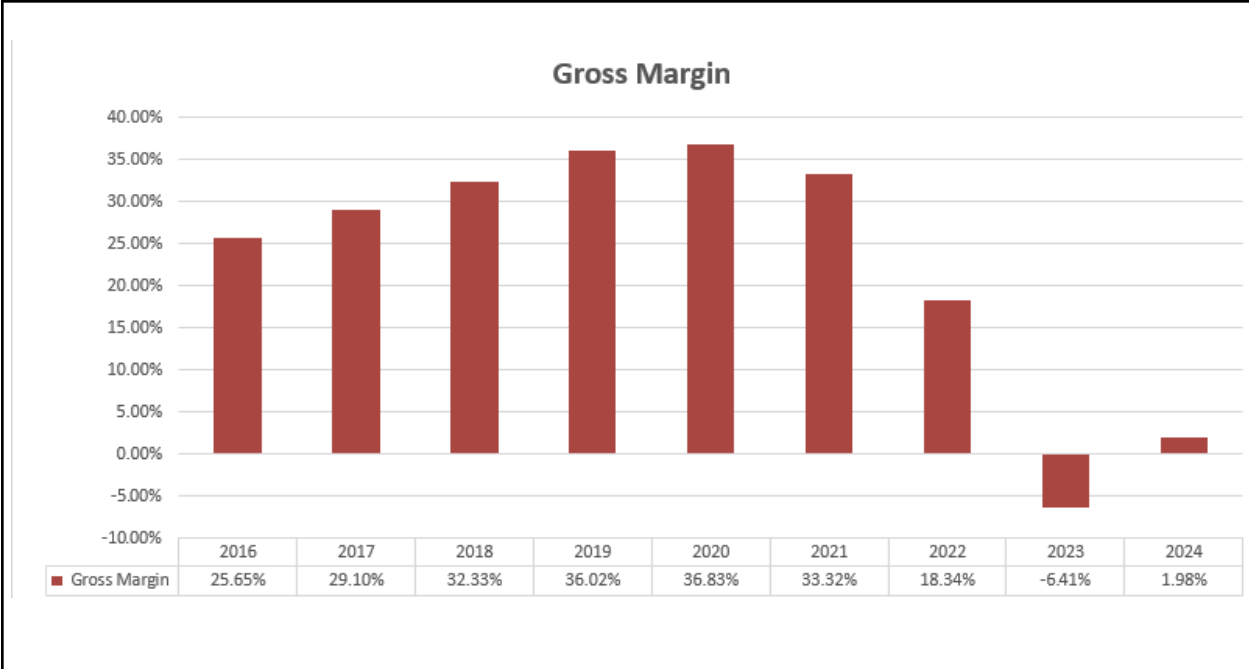
Deal Factsheet: Cypark Resources Berhad

Transaction Summary

Field	Detail
Transaction Type	Farm Down (Selling equity stakes)
Asset	1. 98 MWp - Danau Tok Uban LSS 2 2. 172 MWp - Merchang LSS 3
Transaction Value	RM 564.9 million
Industry / Sector	Renewable Energy
Geography	Malaysia

Financial Snapshot

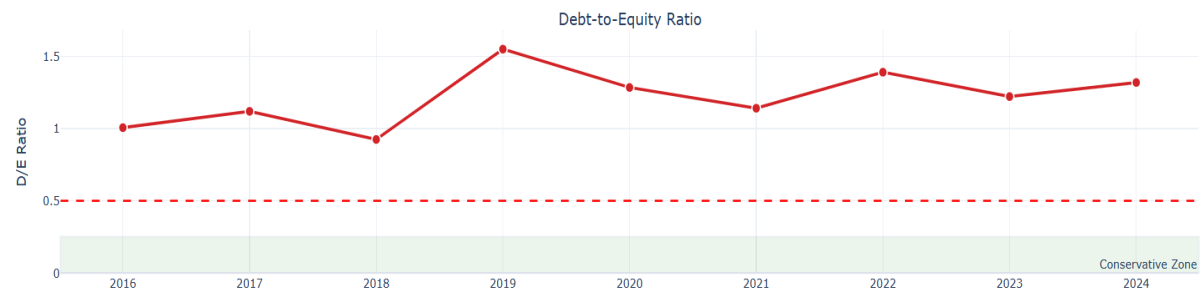
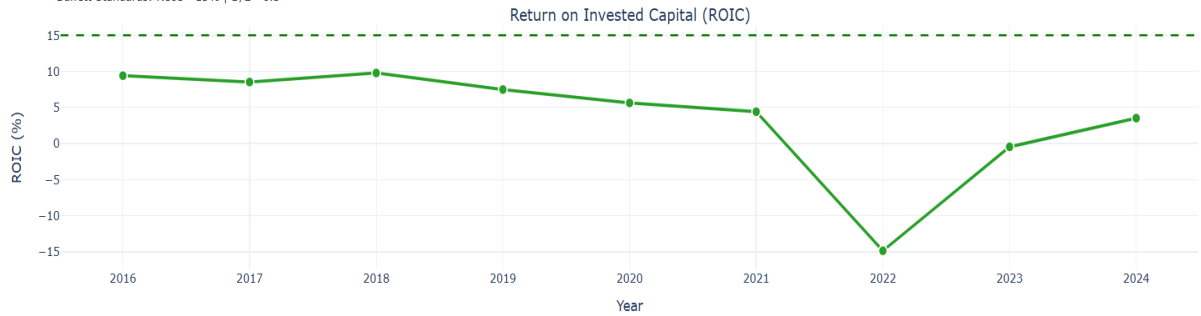
As renewable energy transitions into a low-margin, scale-driven business, Cypark has faced meaningful compression in gross margins, a pressure compounded by cost overruns and supply chain disruptions during its heavy construction phase. In an industry where profitability hinges on securing competitively priced materials and maintaining tight project economics, any delays in procurement or execution erodes the contract value that margins depend on. With thin gross margins limiting internal cash generation, Cypark has had to lean more heavily on external debt to fund its project, leading to its current heavy balance sheet.



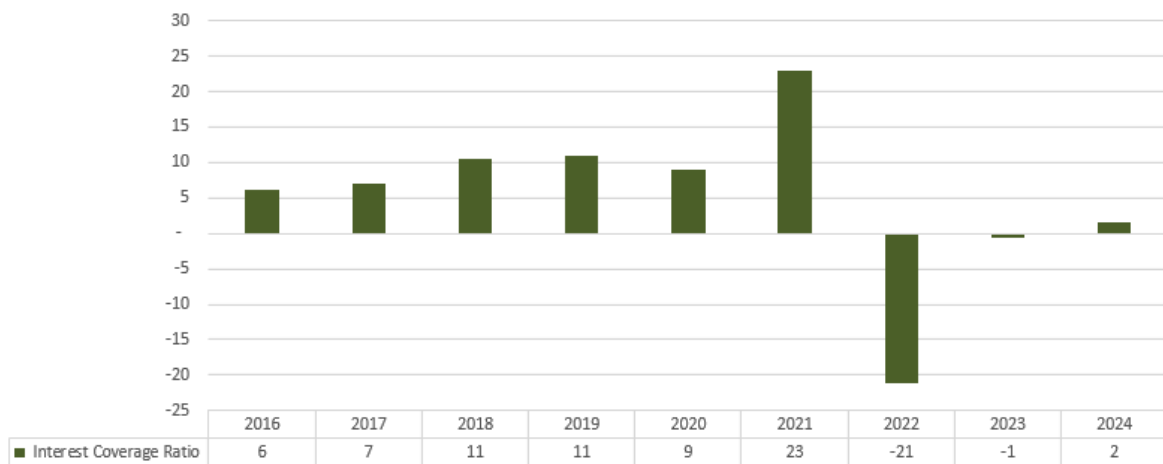
Cypark's persistently elevated debt-to-equity ratio reflects the capital-intensive nature of renewable energy development, where long construction cycles tie up capital well before assets begin generating returns. The resulting debt load has weighed on both interest coverage and return on invested capital. This compressed financial profile poses a tangible risk to tender book conversion due to a weak bankability profile, given its very limited ability to absorb the higher debt-servicing burden that new project awards inevitably bring.

Cypark: Capital Efficiency

Buffett Standards: ROIC >15% | D/E <0.5x



Interest Coverage Ratio



Strategic Rationale

Cypark is at a crossroads. With a tender book of RM3.5 billion and a goal to convert RM2.2 billion in projects, the company needs a massive amount of cash. However, its debt is high and its interest coverage is a fragile 1.54x, meaning it barely earns enough to pay its interest. Growing further under this debt structure could crush its remaining profit margins.

A **farm-down** strategy solves this tension. By selling a minority stake in finished power plants, Cypark can "recycle" that cash into new projects. This allows them to grow while still keeping a slice of ownership and earning steady fees as the plant operator under an O&M agreement.

Cypark has realised its unsustainable debt profile. By paying off their RM235 million Perpetual Sukuk in late 2025, they have refinanced and created room on their balance sheet. Selling an asset stake is the logical next step to fund their next phase of growth.

Financial Projection

LSS Portfolio (2025):

Items	Projections
Value of 98 MWp (LSS2)	RM 5.27/Wp * 98,000,000 = RM 516.46 million
Value of 172 MWp (LSS3)	RM 3.70 /Wp * 172,000,000 = RM 636.40 million
Total Value	RM 1152.86 million
49% equity stake sales proceeds	RM 564.90 million
Debt/Equity Ratio (Based on the latest annual report)	1.32 to 0.85

2026:

Recently secured an EPCC contract for a 595-megawatt alternating current (MWac) floating solar photovoltaic power plant with 60% stake. This can be integrated into the farm down deal to free up more capital.

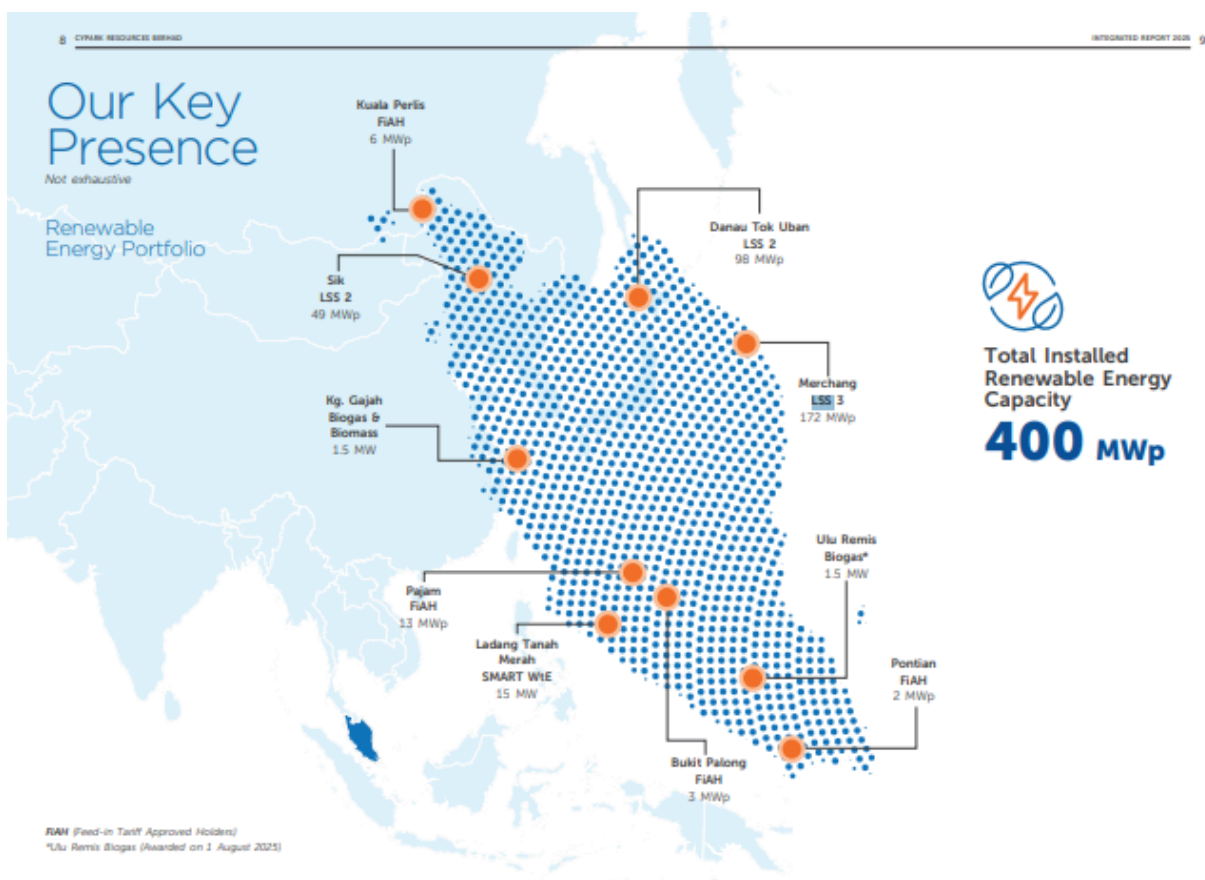
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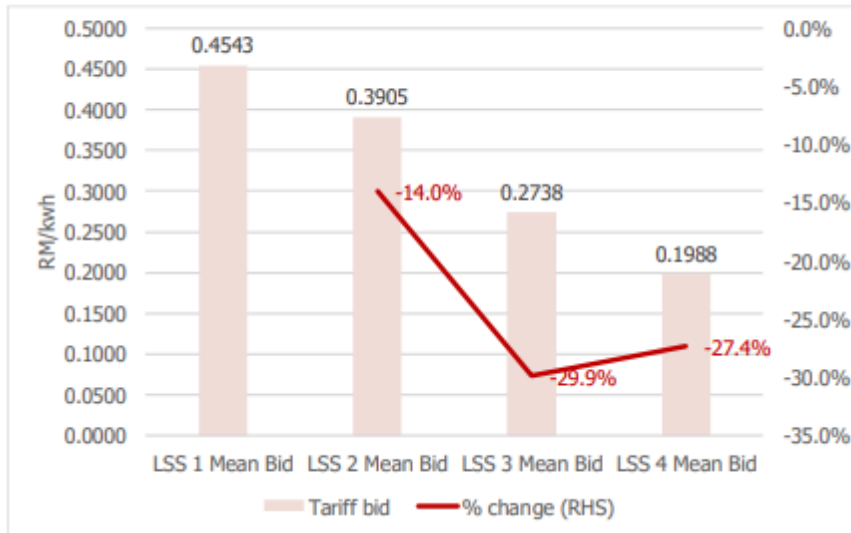
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- <https://www.pyknowhow.com/solar-report/malaysia/>

Appendix

Cypark's Renewable Energy Portfolio:



Large Scale Solar Mean Bidding Rate:



Source: MIDF

The annual generation per unit of installed PV capacity in Malaysia is approximately 1.2 – 1.5 MWh/kWp/year.

PPA Year	WACC	Degradation Rate per year	Time Factor (Useful Financial Life)	Yield (kWh/Wp)	Multiplier (Time factor * Yield)
21	7.5%	0.5%	10	1.35	13.5

Figures used are all based on standard rate.

LSS 2 PPA rate per Wp:

RM 0.3905 per kWh = $RM\ 0.3905 \times 13.5 = RM\ 5.27$ per Wp

LSS 3 PPA rate per Wp:

RM0.2738 per kWh = $RM\ 0.2738 \times 13.5 = RM\ 3.70$ per Wp